

Unit 15**Indian Economy****Structure:**

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15.1 Introduction

The Indian economy is the fourth largest economy of the world on the basis of Purchasing Power Parity (PPP). It is one of the most attractive destinations for business and investment opportunities due to huge manpower base, diversified natural resources and strong macro-economic fundamentals. Also, the process of economic reforms, initiated in 1991, has been providing an investor-friendly environment through a liberalized policy framework spanning the whole economy. In this chapter we will look into the Indian economy and try to analyze both its strengths and its weaknesses. The trends in the different sectors will show us the way to a better future by bringing in more innovative strategies that can overcome all obstacles.

Objectives:

After studying this unit, you should be able to:

- describe the characteristics of the Indian economy;
- identify the trends in the different sectors of the economy;
- evaluate the changing nature of the Indian economic environment;

15.2 India as a Developing Economy

The Indian economy is known as a developing economy based on its characteristic features. It is the third largest economy in the world, in terms of purchasing power. As predicted by Goldman Sachs, the Global Investment Bank, by 2035 India would be the third largest economy of the world just after the US and China. It will grow to 60% of the size of the US economy. Though the economy is growing, there are certain characteristics which tend to create constraints in the development of the nation namely:

- **Rapid Population Growth:** This monster is eating into the success of India. According to 2011 census of India, population of India was 1.21 billion growing at a rate of 1.41% approx. Such a vast population puts lots of stress on economic infrastructure of the nation. Thus India has to control its burgeoning population. India is the second most populous country in the world and is projected to be the most populated by 2025. The positive aspect of India's growing population is the large proportion of population in the younger age group.
- **Low per capita Income and Poverty:** As per the World Bank estimate of 2005, 41.6% of the Indian population was living Below the International Poverty Line of US\$ 1.25 a day (PPP in nominal terms ₹ 21.6 a day in urban areas and ₹ 14.3 in rural areas. Major steps are needed to be taken to eliminate poverty from India.
- **Unemployment:** The increasing population is pressing hard on economic resources as well as job opportunities. Indian government has started various schemes such as Jawahar Rozgar Yojna, and Self Employment Scheme for Educated Unemployed Youths (SEEUY). But these are proving to be a drop in an ocean.
- **Rural Urban Divide:** It is said that India lies in villages, even today when there is a lot of talk going on about migration to cities, 70% of the Indian population still lives in villages. There is a very stark difference in the pace of rural and urban growth. Unless there is a balanced development Indian economy cannot grow.
- **Economic Disparities and Predominance of Agriculture:** Lagging states need to generate more jobs for their people by creating an attractive investment destination. Reforming cumbersome regulatory procedures, improving rural connectivity, establishing law and order,

creating a stable platform for natural resource investment that balances business interests with social concerns, and providing rural finance are important.

These challenges can be overcome by sustained and planned economic reforms. These include:

- Maintaining fiscal discipline.
- Orientation of public expenditure towards sectors in which India is faring badly, such as health and education.
- Introduction of reforms in labour laws to generate more employment opportunities for the growing population of India.
- Reorganization of agricultural sector, introduction of new technology, reducing agricultural dependence on monsoon by developing means of irrigation.
- Introduction of financial reforms including privatization of some public sector banks.

Self Assessment Questions

Select the right option:

1. The salient features of the Indian economy are:
 - (a) Predominance of Agriculture
 - (b) Rapid Population Growth and unemployment
 - (c) Low per capita GDP & capital scarcity
 - (d) None of the above
 - (e) a, b & c

Fill in the blanks:

2. Indian government has started various schemes such as _____ and _____ to deal with unemployment.
3. _____ of the Indian population still lives in villages.

15.3 India as an Emerging Economy

In this section you will study the trend in different sectors of the Indian Economy. The economy is made up of several sectors. Agricultural sector is the dominating sector of the Indian economy. With economic development, the services sector and the industrial sector have gained prominence. This has made the Indian economy more resilient. Over the years, the dominance of the agricultural sector in terms of contribution to GDP has

reduced and the importance of the services sector has increased. Now the services sector contributes more than 50% of the GDP. India is now a chosen destination for outsourcing projects and offers a big consumer base. Indian companies are adding to export of services and are purchasing companies abroad. With a high growth rate Indian economy is now a major recipient of FDI and FII Inflows. India is now an emerging economy and is being watched by the rest of the world, who want a part in the Indian growth story.

15.3.1 Agriculture

Agricultural sector was the most important sector in India after independence but it has seen the most dismal performance in recent years. Whereas more than 52% of the country's population depends on the agriculture sector in 2007, it contributes only 16.6% of the GDP. From strong roots of a growth of 9.1% in 2003-2004, it fell to 2.7% during 2007-2008. Around 52.6% of the total land of the country was irrigated in 2003-04, with farmers being dependent on the monsoons.

As of 2010, India is the largest producer of tea, jute and jute like fiber. India is not only the largest producer but also the largest consumer of tea in the world. India accounts for more than 15 percent of the global tea trade. Indian tea is exported in various forms, such as tea bags and instant tea, to more than 80 countries of the world. Milk production in India is also the highest in the world.

The country is placed 3rd in cereal production, having the 2nd largest position when it comes to wheat and rice and the largest in the world in production of pulses. Agricultural sector, though heavily subsidized and funded by the government, lacks modern technology and the practices even today are mostly third world. The prime areas that can boost agricultural income include horticulture, organic farming livestock & fisheries, commercial crops and agro-processing. The timely monitoring of minimum support price for agricultural products will result in high sustained agricultural growth and improvements in rural infrastructure. Practices like strengthening R&D, improvements in post-harvest management technologies, reforms in legislations will establish a stronger support system for the country's agricultural sector. A substantial amount of labour goes to waste in the form of excess labour in the agricultural sector. Absorbing such labour in other

sectors, particularly industry, is required. There is a need for increased awareness for public investment in agriculture, especially in irrigation, rural infrastructure and agricultural research and development. The scenario of availability of better institutional credit for farmers has certainly improved, but the emphasis also needs to be on better access to credit. Some of the main weaknesses of this sector are:

- Indian agriculture is highly sensitive to the variability in rainfall. Drought, floods etc., cause serious damage to agriculture and livelihood. Climate variability has considerable social and economic consequences in India as a large chunk of the population is dependent directly or indirectly on agriculture for livelihood.
- Irrigation is another issue of concern. Other than Punjab, Haryana and Uttar Pradesh, most of the other states do not have high level of irrigation and depend more or less on rainfall.
- Weak credit and insurance facilities
- Low land productivity and
- Low level of mechanization

15.3.2 Industrial Sector

Industrial sector in India contributes only about 27% of the country's GDP. The manufacturing sector growth in India has fallen sharply in the last seven years as compared to the first seven years, post reforms. The consumer durables sector in particular has witnessed slowdown mainly due to hardening of interest rates. The industries that saw acceleration in growth included chemicals, food products, leather, jute textiles, wood products and miscellaneous manufacturing products. The ones that witnessed a slowdown included basic metals, machinery and equipment's, rubber, plastic and petroleum products, beverages and tobacco. The hardest hits were textiles (except jute textiles), automotive, paper, non-metallic mineral products and metal products. This was mainly due to the decline in growth of exports due to the constantly strengthening rupee vis-a-vis the dollar. Automobiles saw mixed results with the productions of motor cycles and three wheelers slackening and passenger cars, scooters and mopeds witnessing buoyant growth. Capital goods sector was one of the largest contributors to the GDP. Growth, in particular in power generation and railway freight means a prosperous future for companies like CESC and

Gateway Distriparks. A global fall in demand for cement saw a spillover effect in the Indian cement industry as well. One of the most significant achievements has been the increase in the rate of penetration of the telecom sector, particularly in the rural areas.

15.3.3 Service Sector

The Services sector is the largest contributor to the country's GDP (more than half of India's GDP). It has maintained a steady growth since 96-97, except for a fall in 2000-2001 which was because of the global dot com bubble bursting. India has the title of being the world's second largest fastest growing economy, in the services sector in particular. This growth has been fuelled by a growing urban middle class, largely English speaking, which in turn has given rise to the growth in back-office operations such as call centers. The outcome of economic liberalization that began in 1991 is most significant in the services sector. Due to the services sector, the tax revenue has seen an increase of more than 40%. The growth in the three segments in the service sectors – trade, hotels, transport and communication; financing, insurance, real estate and business services; and community, social and personal services are on the rise. The growth in this sector explains the high rate of growth of the stock market which in turn has resulted in a huge growth in the financial services sector.

The rise in the service sector's share in the GDP marks a structural shift in the Indian economy and takes it closer to the fundamentals of a developed economy (the industrial and the service sectors in a developed economy contribute a major share to the GDP while agriculture accounts for a relatively lower share).

Some economists caution that if the service sector bypasses the industrial sector, economic growth can be distorted. Service sector growth must be supported by proportionate growth in the industrial sector. Otherwise the service sector growth will not be sustainable. In India we find that the service sector's contribution in the GDP has sharply risen and that of the industry sector has fallen.

15.3.4 Infrastructure

For the development of any country infrastructure comprising road, rail, air and water transport, electric power, telecommunications, water supply and irrigation which account for a combined weight of 26.68 per cent in the index

of industrial production (IIP) is very important. Infrastructure is a very important factor for high and sustained growth. India has been trying to find an appropriate policy framework which gives the private sector encouragement in investing in the infrastructure sector and simultaneously keeps adequate check through competition and regulation. Many incentives have been given by the Government. For example, projects in airports, ports, inland ports, industrial parks, generation and distribution of power have been given tax holidays during the initial 15 years. Let us see some of its constituents:

- **Port:** The Indian port sector has emerged as the unsung hero in India's efforts to increase its global presence. The country's booming economy along with its foreign trade has given a tremendous boost to the sector, which has been instrumental in increasing India's share in world trade.
- **Indian Railways:** Indian Railways is the world's fourth largest rail network and the second largest under a single management. It is also the world's fourth largest freight carrier, carrying 1.49 million tonne (mt) of freight daily. Contributing to the development of India's industrial and economic landscape for over 150 years, it accounts for about 2.3 per cent of the GDP and employs about 1.5 million people directly. Indian Railways consists of an extensive network, spread over 109,221 km, encompassing about 6947 stations and 17.7 million passengers.
- **Roads:** India has the world's second largest road network, over 3.34 million kilometers in the aggregate. The share of the road transport in the GDP is over 4.6 per cent in 2007 (as against 3.8 per cent in 2000), accounting for over two-thirds of the total transport contribution to the GDP.
- **Urban Development:** India is getting urbanized at a faster rate than the rest of the world and, by 2030, 40.7 per cent of the country's population will be living in urban areas, according to a report by the United Nations Population Fund (UNFPA).

Certain challenges which lie ahead in the infrastructural sector are:

- **Power Sector:** With a significant surge in demand, there is a need for growth in capacity as well. Some state electricity boards follow a restrictive and monopolistic policy that leads to imbalances in the supply of power in states. This requires centralized restructuring and

development of a nationwide grid network. Also the problem of high transmission and distribution losses need to be properly dealt with.

- **Railways:** The infrastructural facilities of the Indian Railways are quite outdated with many things constructed during the British Period. There is a need to bring the entire railways under the broad gauge frame, electrifying the complete network and putting a computerized signaling system in place.
- **Roadways:** More National highways are required. High vulnerability of roads to the monsoon rains reduces efficiency of traffic movement. Road links to the remotest of villages for accessibility to basic facilities are required.
- **Aviation:** The airports, runways and terminals have to be modernized and updated to international standards. India needs more international airports. Night landing facilities have to be improved and air travel needs to be less costly.
- **Telecommunication:** There is vast opportunity to grow in this sector, since India suffers from one of the lowest telephone penetrations in the world. Newer technologies need to be introduced and constant updating is required. Special emphasis should be laid on the coverage of telephones in the rural sector.

15.3.5 Social Sectors

The **Human Development Reports** (published by UNDP) show that India has improved its position in the human development front. Some components of the human development indicators for health and income continue to lag behind. India's rank in the Gender Development Index continues to be low. High regional disparities across the states area cause for concern. Social Sector programs and their implementation largely come under the state governments. However, the Central government does extend adequate resources to them. Let us look into some of the important parts of the social sector:

Poverty:

- Large scale poverty remains to be a problem in India.
- India has the largest number of poor people in a country (nearly 1 billion) of which, more than 250 million are below poverty line.

- About 25 % of the population is illiterate with more of women, tribals and scheduled castes being affected.
- The main causes affecting poverty are illiteracy and high population growth rate.

National Programs like the National Rural Employment Programme and Rural Landless Employment Guarantee Programme better known as Jawahar Rozgar Yojana were introduced to reduce poverty.

Education:

- **Elementary Education:** Expanding the provision of primary, formal and non-formal education to realize the goal of Universalization of Elementary Education (UEE) for sustaining reforms in education has been done. The National Programme of Nutritional Support to Primary Education (School Meal Programme) has boosted UEE in terms of increased enrolment, retention and attendance in primary classes by supplementing nutritional requirements of children attending primary schools. Nutritious and wholesome cooked meals of 100 gm of foodgrains are provided free of cost to all children in classes I-V per school day.
- **Secondary Education:** India has at present more than 1.2 lakh institutions catering to secondary education which serves as a bridge between primary and higher education. With more emphasis on primary education, enrolment in secondary education is bound to increase.
- **Higher Education:** India has one of the largest higher educational systems in the world. About 71 lakh students are taught by 3.31 lakh teachers in 15,000 colleges. Central Government provides grants to the UGC and establishes Central Universities in the country. State government establishes state universities and colleges and provides plan grants for their development and maintenance.

India has made huge progress in terms of increasing primary education attendance rate and expanding literacy to approximately two thirds of the population. The right to education at elementary level has been made one of the fundamental rights under the eighty-sixth Amendment of 2002, and legislation has been enacted to further the objective of providing free education to all children. However, the literacy rate of 65% is still lower than

the worldwide average and the country suffers from a high dropout rate. Further, there exist severe disparities in literacy rates and educational opportunities between males and females, urban and rural areas, and among different social groups. Universalization of elementary education has become an important goal. It has, therefore, been decided to launch a centrally sponsored scheme, viz., Scheme for Universalization of Access to Secondary Education and improvement of quality at secondary stage, during the Eleventh Five Year Plan. The main objective of the programme is to make secondary education of good quality, available, accessible and affordable to all young students in the age group of 15-16 years (classes IX and X).

Health Care: There has been a definite growth in the overall healthcare resources and health related man power in the last decade. The number of hospitals have grown from 11,174 in 1991 to more than 19,000 now. The country has one doctor for every 1,800 people approximately. There is an annual pharmaceutical production of about 260 billion (INR) and a large proportion of these medicines are exported. There is unequal distribution of resources which apparently creates problems. The ratio of hospital beds to population in rural areas is fifteen times lower than that of urban areas. The ratio of doctors to population in rural areas is almost 6 times lower than that to the urban population. Per capita expenditure on public health is seven times lower for rural area as compared to government health spending for urban areas. Indian public health system is grossly inadequate and underfunded. As a result of this dismal and unequal spending on public health, the infrastructure of health system itself is many times ineffective. Initiatives such as AamAdmiBima – Yojana and Rastriya Swasthya Bima Yojana have been made for social sector development.

15.3.6 Banking and Finance

The Indian money market is classified into the **organized sector**, comprising:

- Private
- Public
- Foreign owned commercial and cooperative banks and the **unorganized sector** which includes:
 - Individual or family owned bankers

- Moneylenders
- Non-banking financial companies

The unorganized sector and microcredit are still preferred to traditional banks in rural and sub-urban areas, especially for non-productive purposes, like ceremonies and short duration loans.

Former (late) Prime Minister Smt. Indira Gandhi nationalized 14 banks in 1969, followed by six others in 1980, and made it mandatory for banks to provide 40% of their net credit to priority sectors like agriculture, small-scale industry, retail trade, small businesses, etc., to ensure that the banks fulfill their social and developmental goals. Since then, the number of bank branches have increased from 8,260 in 1969 to 72,170 in 2007 and the population covered by a branch decreased from 63,800 to 15,000 during the same period. The total bank deposits increased from ₹5,910crores in 1970–71 to ₹3,830,922crores in 2008–09. Despite an increase of rural branches, only 32,270 out of 500,000 villages are covered by a bank.

Most people prefer to buy assets such as land, houses, cattle, and gold from their personal savings. The public sector banks hold over 75% of the total assets of the banking industry, with the private and foreign banks holding 18.2% and 6.5% respectively. Since liberalization, the government has approved significant banking reforms such as, for nationalized banks, policies encouraging mergers, reducing government interference and increasing profitability and competitiveness. Other reforms have opened up the banking and the insurance sectors to private and foreign players.

15.3.7 External Sector

The external sector plays a key role in accelerating the pace of the liberalization process. Until the liberalization of 1991, India was isolated from the world markets, to protect its economy and to achieve self-reliance. Foreign trade was subject to import tariffs, export taxes and quantitative restrictions, while foreign direct investment (FDI) was restricted by upper-limit equity participation, restrictions on technology transfer, export obligations and government approvals. The restrictions ensured that FDI averaged only around \$200 million annually between 1985 and 1991. A large percentage of the capital flows consisted of foreign aid, commercial borrowing and deposits of NRIs. India's exports were stagnant for the first 15 years after independence, due to general neglect of trade policy by the

government. Imports in the same period, consisted predominantly of machinery, raw materials and consumer goods.

Since liberalization, the value of India's international trade has increased sharply, with the contribution of total trade in goods and services to the GDP rising from 16% in 1990–91 to 43% in 2005–06. India's major trading partners are the European Union, China, the United States and the United Arab Emirates. Major export commodities include engineering goods, petroleum products, chemicals and pharmaceuticals, gems and jewellery, textiles and garments, agricultural products, iron ore and other minerals. Major import commodities include crude oil and related products, machinery, electronic goods, gold and silver. In November 2010, exports increased 22.3% year-on-year to ₹ 85,063crore, while imports were up 7.5% at ₹ 125,133crore. Trade deficit dropped from ₹ 46,865crore in 2009 to ₹ 40,070crore in 2010.

India is a founding-member of General Agreement on Tariffs and Trade (GATT) since 1947 and its successor, the WTO. While participating actively in its general council meetings, India has been crucial in voicing the concerns of the developing world. India has continued its opposition to the inclusion of labour and environmental issues and other non-tariff barriers into the WTO policies.

Some of the challenges that the external sector faces are:

- International uncertainties
- Global imbalances affecting the currency markets
- Volatility of crude oil prices (sharp oil price changes may reduce aggregate output temporarily because they delay business investment by raising uncertainty, and have a negative and significant effect on future gross domestic product (GDP) growth)
- Hardening of interest rates (higher interest rates and / or higher inflation, worsening credit quality of various debtors)

Balance of Payments: Since independence, India's balance of payments on its current account has been negative. Since economic liberalization in the 1990s, precipitated by a balance of payment crisis, India's exports rose consistently, covering 80.3% of its imports in 2002–03, up from 66.2% in 1990–91. However, the global economic slump, followed by a general

deceleration in world trade, saw the exports, as a percentage of imports, drop to 61.4% in 2008–09. India's growing oil import bill is seen as the main driver behind the large current account deficit.

Due to the global late 2000 recession, both Indian exports and imports declined by 29.2% and 39.2% respectively in 2009. The steep decline was because countries hit hardest by the global recession, such as the United States and members of the European Union, account for more than 60% of Indian exports. However, since the decline in imports was much sharper compared to the decline in exports, India's trade deficit was reduced to ₹ 25,250crores.

India's reliance on external assistance and concessional debt has decreased since liberalization of the economy, and the debt service ratio decreased from 35.3% in 1990–91 to 4.4% in 2008–09. In India, External Commercial Borrowings (ECBs), or loans from non-resident lenders, are being permitted by the Government for providing an additional source of funds to the Indian corporate. The Ministry of Finance monitors and regulates them through the Reserve Bank of India under the Foreign Exchange Management Act of 1999. India's foreign exchange reserves have steadily risen from \$5.8 billion in March 1991 to \$283.5 billion in December 2009.

Foreign Direct Investment: As the fourth-largest economy in the world in PPP terms, India is a preferred destination for FDI. Despite a surge in foreign investments, rigid FDI policies were a significant hindrance. However, due to positive economic reforms aimed at deregulating and stimulating foreign investment, India has positioned itself as one of the front-runners in the Asia-Pacific region. India has a large pool of skilled managerial and technical expertise. The size of the middle-class population stands at 300 million and represents a growing consumer market.

During 2000–10, the country attracted \$178 billion as FDI. The high investment from Mauritius is due to routing of international funds through the country because of significant tax advantages creating a zero-taxation FDI channel.

India's liberalized FDI policy (2005) allows up to a 100% FDI stake in ventures. Industrial policy reforms have substantially reduced industrial licensing requirements, removed restrictions on expansion and facilitated

easy access to foreign technology and foreign direct investment FDI. The upward moving growth curve of the real-estate sector is due to a booming economy and liberalized FDI regime. Despite a number of changes in the FDI policy to remove caps in most sectors, there still remains an unfinished agenda of permitting greater FDI in politically sensitive areas such as insurance and retailing. The total FDI equity inflow into India in 2008–09 stood at ₹ 122,919 crores, a growth of 25% in rupees over the previous period.

15.3.8 Corruption

Corruption has been a persistent problem in India. The economic reforms of 1991 reduced the red tape, bureaucracy and the License Raj that were blamed for corruption and inefficiency. Yet, the problem of paying bribe to get a job done in a public office remains.

The Right to Information Act (2005) which requires government officials to furnish information requested by citizens or face punitive action, computerization of services, and various central and state government Acts that established vigilance commissions, have considerably reduced corruption and have opened up avenues to redress grievances.

Most government spending fails to reach its intended recipients. A large, cumbersome and overworked bureaucracy contributes to administrative inefficiency. India's absence rates are one of the worst in the world. One study found that 25% of public sector teachers and 40% of public sector medical workers could not be found at the workplace.

The Indian economy continues to face the problem of an underground economy with a 2006 estimate by the Swiss Banking Association suggesting that India tops the worldwide list for black money with almost \$1,456 billion stashed in Swiss banks. This amounts to 13 times the country's total external debt.

Self Assessment Questions

Fill in the blanks:

4. Whereas more than _____ of the country's population depends on the agriculture sector, it produces only _____ of the GDP.
5. India is the _____ economy in the world in PPP terms, and thus is a preferred destination for FDI.

6. The economic reforms of 1991 reduced the_____, _____and the _____ that were blamed for corruption and inefficiency.
7. The _____ sector is the largest contributor to the country's GDP.
8. The _____ has boosted UEE in terms of increased enrolment, retention and attendance in primary classes by supplementing nutritional requirements of children attending primary schools.

15.4 India as a Mixed Economy

India gained independence in 1947, paving the way for an economically independent new India. Policies during 1950-70 were implemented following the socialist philosophy and political democracy. Heavy investment by the government in steel plants, atomic energy, power and irrigation projects laid the foundation for a strong industrial structure.

Indian economy has made great strides since independence. In 1947 the country was poor and was shattered by violence, economic and physical disruption involved in the partition from Pakistan. The economy had stagnated since the late nineteenth century. Industrial development had stopped and India served as a market for British manufacturers. In 1950, agriculture accounted for 58.9 percent of the gross domestic product (GDP) and for a much larger proportion of employment. Manufacturing, dominated by the jute and the cotton textile industries, accounted for only 10.3 percent of the GDP at that time. In order to increase economic growth, the public sector dominated heavy industry, transportation, and telecommunications. The private sector produced most of the consumer goods but was controlled by government regulations and financial institutions. Government emphasized self-sufficiency rather than foreign trade and imposed strict controls on imports and exports.

Beginning from the late 1970s, successive Indian governments sought to reduce State control on the economy. Many analysts attributed the stronger growth of the 1980s to those efforts. In the late 1980s, however, India relied on foreign borrowing, to finance development plans to a greater extent than before. As a result, when the price of oil rose sharply in August 1990, the nation faced a balance of payments crisis. The need for emergency loans led the government to make a greater commitment to economic

liberalization. In the early 1990s, India's post-independence development pattern was increasingly questioned by policy makers.

Too much of protection from the Government had its own disadvantages. Our quality standards were not in tune with international competition. Indian economy needed to be more open.

Thus economic reforms in 1991 came, in reaction to a severe foreign exchange crisis. These reforms include liberalized foreign investment and exchange regimes, significant reductions in tariffs and other trade barriers, reform and modernization of the financial sector, and changes in government monetary and fiscal policies.

The reform process has had some very beneficial effects on the Indian economy, including higher growth rates, lower inflation, and significant increases in foreign investment, healthy foreign currency reserves and a moderate current account deficit of about 1% (1998-99). India's economic growth is constrained by inadequate infrastructure, cumbersome bureaucratic procedures, and high real interest rates. The second generation reforms will have to address these constraints, to maintain recent trends in economic growth.

India's trade has increased significantly since reforms began in 1991, largely as a result of tariff reductions and elimination of non-tariff barriers. India has eliminated quantitative restrictions on imports to meet its WTO commitments. The U.S. is India's largest trading partner. Principal U.S. exports to India are aircraft and parts, advanced machinery, fertilizers, ferrous waste and scrap metal, and computer hardware. Major U.S. imports from India include textiles and ready-made garments, agricultural and related products, gems and jewelry, leather products, and chemicals.

Liberalization of its investment regime has made India an attractive place for foreign direct and portfolio investment. The U.S. is India's largest investment partner. Foreign investment is particularly sought after, in power generation, telecommunications, ports, roads, petroleum exploration and processing, and mining.

Globalization has paved the way for India's entry into world markets. Economic reforms have been initiated to facilitate stabilization and structural adjustments, essential for the growth of the economy. It is seen that

economic liberalization has brought about an impressive rate of economic growth, but the poorest sections of the population might not be benefitting from it.

Because of this phenomenal increase in growth rate, the next challenge is inflation in the economy. The world prices of crude oil, commodities and food grains have risen sharply since the last year. So the basic challenge for the government is to keep inflation in check and manage the capital flows more effectively. To increase the growth rate according to our set targets, as per the 11th Five year Plan, we need to have certain additional reforms.

Experts estimate that by 2025, India's share in the world GDP is expected to rise from 6% to 11% wherein that of the US will witness a fall from 21% to 18%. India is expected to be the 3rd largest economy in the world by 2025. Economic growth and Per capita consumption is a broad quantitative indicator of the progress made in improving public welfare. The per capita income of Indians has gone up 14.2 per cent in 2006-07, enabling them to spend more on manufactured products like mobiles and health care services, while increasing their savings. This explains the reason for the tremendous increase in the growth rate of manufacturing and the service sector by 10.7% and 9.4% respectively. Analysts say that the spurt in households' income levels explains the boom in retail sector, sale of more two and four wheelers, mobiles and branded products in urban and non-urban areas. The highest growth in personal expenditure was noticed in the communication sector that comprises mobiles, TV and newspapers. The new economic policies have caused a total change in the way in which India does business.

Self Assessment Questions

Select the right option:

9. _____ is India's largest trading partner. (U.K, U.S, Russia, Japan)

Fill in the blanks:

10. Too much of protection from the Government led to _____ quality standards which were not in tune with international competition. Thus Indian economy needed to be more _____.

15.5 Summary

In this chapter we look into the characteristics of the Indian Economy. The trends in the different sectors of the economy are analyzed. It is found that the service sector has acquired predominance in terms of income generation and productivity while the agricultural sector has lost its sheen. Looking into the depth of the performance of the economy over the years, we find that with a more competitive climate, the responsibilities on industry and its managers are much greater. Managers are facing more challenges, and more initiative and creativity is the way that will lead the industry and the whole nation to a better future.

15.6 Glossary

- **Balance of Payment:** An overall statement of a country's economic transactions with the rest of the world over some period, often a year. A table of the balance of payments shows amounts received from the rest of the world and amounts spent abroad.
- **The Current Account:** includes exports and imports, that is, visible trade, and receipts from / and spending abroad on services such as tourism.
- **Debt Service Ratio:** Is the ratio of debt service payments (principal + interest) of a country to that country's export earnings. A country's international finances are healthier when this ratio is low. The ratio is between 0 and 20% for most countries.
- **External Commercial Borrowings:** External Commercial Borrowings (ECB) is an instrument used in India to facilitate the access to foreign money by Indian corporations and PSUs. They include bank loans, suppliers' and buyers' credits, fixed and floating rate bonds (without convertibility) and borrowings from private sector windows of multilateral Financial Institutions such as International Finance Corporation.
- **Gross Domestic Product:** GDP is one of the main measures of economic activity. 'Gross' indicates that it is calculated without subtracting any allowance for capital consumption; 'domestic' that it measures activities located in the country regardless of their ownership.
- **Gross National Product:** Total market value of the finished goods and services manufactured within the country in a given financial year, plus

income earned by the local residents from investments made abroad, minus the income earned by foreigners in the domestic market.

- **Index of Industrial Production:** IIP in simplest terms is an index which details out the growth of various sectors in an economy. A base is decided on the basis of which all the index figures would be arrived at.
- **Purchasing Power Parity:** PPPs are the rates of currency conversion which equalize the purchasing power of different currencies. This means that a given sum of money, when converted into different currencies at the PPP rates, will buy the same basket of goods and services in all countries.
- **The Human Development Index:** HDI is a composite statistics used to rank countries by levels of "human development". The statistics is composed of data on life expectancy, education and per-capita income collected at the national level.

15.7 Terminal Questions

1. How has the nature of Indian Economy changed over the years?
2. Discuss the environment of the External Sector of the Indian Economy.
3. Explain the Indian Economy with reference to the Agricultural, the Industrial and the Service sectors.
4. Comment on the changing nature of the Indian economy due to globalization.
5. Discuss the importance of the external sector with regard to FDI.

15.8 Answers

Self Assessment Questions

1. (e)
2. Jawahar Rozgar Yojna, Self Employment Scheme for Educated Unemployed Youths (SEEUY)
3. 70%
4. 65%, 23%
5. fourth-largest
6. red tape, bureaucracy, License Raj
7. Services

8. National Programme of Nutritional support to Primary Education (School Meal Programme)
9. U.S
10. Poor, open

Terminal Questions

1. Refer Section 15.4
2. Refer Section 15.3.7
3. Refer Section 15.3
4. Refer Section 15.4
5. Refer Section 15.3.7

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